

FEDERAL MARITIME COMMISSION

ADEBISI A. ADENARIWO,

Claimant,

v.

BDP INTERNATIONAL, ZIM
INTEGRATED SHIPPING, LTD. AND ITS
AGENT (LANSAL) ET AL.,

Respondents.

Informal Docket
No. 1921(I)

Served: June 28, 2017

BY THE COMMISSION: Michael A. KHOURI, *Acting Chairman*, Rebecca F. DYE, William P. DOYLE, and Daniel B. MAFFEI, *Commissioners*.

Order Denying Petition for Attorney Fees

I. INTRODUCTION

Following the issuance of the Commission's February 14, 2017 order awarding Claimant reparations in this proceeding,

Claimant filed a petition for attorney fees¹ with the Commission on March 23, 2017. For the reasons discussed below, the Commission denies Claimant's fee petition.

II. BACKGROUND

A detailed description of the factual background and procedural history of this proceeding can be found in the Commission's February 14, 2017 order awarding reparations. *Adenariwo v. BDP Int'l*, 34 S.R.R. 595 (FMC 2017). In summary, Claimant filed this informal claim in 2011 and was awarded reparations by a Commission Settlement Officer in 2013. 33 S.R.R. 503 (SO 2013). The Settlement Officer, however, limited the reparations award based on the finding that Claimant could have mitigated his damages. The Commission reviewed the Settlement Officer's decision *sua sponte* and affirmed on February 20, 2014. 33 S.R.R. 223 (FMC 2014).

Claimant filed a petition for review with the United States Court of Appeals for the District of Columbia Circuit (D.C. Circuit), which vacated the Commission's decision to reduce Claimant's damages and remanded the case to the Commission for the entry of an award in favor of Claimant in the full amount of his unmitigated damages. *Adenariwo v. Fed. Mar. Comm'n*, 808 F.3d 74, 81 (D.C. Cir. 2015).

Following briefing by the parties on the appropriate amount of reparations, the Commission awarded reparations in the amount of \$50,000 plus interest on February 14, 2017. *Adenariwo*, 34 S.R.R. at 599. On March 23, 2017, Claimant filed a Motion to Reconsider

¹ Claimant's filing is titled Motion to Reconsider Final Order on Remand for Attorney's Fees. As discussed below, the Commission deems the filing to be a petition for attorney fees under Rule 254 of the Commission's Rules of Practice and Procedure and refers to it as such throughout the document.

Final Order on Remand for Attorney's Fees. Respondent Zim² requested and was granted additional time to file its reply, which it filed on April 19, 2017.

III. DISCUSSION

Claimant requests that the Commission: (1) reconsider its February 14, 2017 order; (2) grant Claimant reasonable attorney fees and costs; (3) order Zim to pay to Claimant's counsel the sum of \$21,092.50; and (4) grant such other relief as required. In support of this request, Claimant cites the Commission's February 14, 2017 order awarding him reparations and 46 U.S.C. § 41305(e), which permits the award of reasonable attorney fees to the prevailing party in an action under 46 U.S.C. § 41301. Claimant's current counsel, Mr. Christopher L. Rand, states that he believes that the requested amount "is reasonable based on his hourly rate of \$295.00 per hour and the experience of more than twenty years of practice." The petition includes two attachments: Exhibit A, which consists of statements of account from Mr. Rand's firm, Abramson & Rand, LLC; and Exhibit B, which consists of invoices from Bushell Law, P.A.³

In its reply, Zim argues that Claimant's petition should be considered in light of the amendments to 46 U.S.C. § 41305 made by the Howard Coble Coast Guard and Maritime Transportation Act of 2014, Pub. L. No. 113-281 (Coble Act), and the Commission's implementing amendments to 46 C.F.R. § 502.254, effective March 1, 2016. Zim further argues that Claimant's petition must be denied because it does not meet the requirements for attorney fee requests in § 502.254, and Claimant has not established entitlement to an attorney fee award. Finally, Zim asserts that the Commission lacks authority to award fees incurred in the proceeding before the D.C. Circuit.

² Zim was the only respondent found to have violated the Shipping Act. *Adenariwo v. BDP Int'l*, 33 S.R.R. 223 (FMC 2014).

³ Bushell Law, P.A., represented Claimant in the proceeding before the D.C. Circuit. *Adenariwo*, 808 F.3d 74.

A. Request to Reconsider February 14, 2017 Order

As an initial matter, although Claimant requests that the Commission reconsider the February 14, 2017 order, we deem the filing to be a petition for attorney fees under Rule 254 of the Commission's Rules of Practice and Procedure (46 C.F.R. § 502.254) and not a petition for reconsideration of the decision under Rule 261 (46 C.F.R. § 502.261). The only relief requested by Claimant is attorney fees and costs under 46 U.S.C. § 41305, and the filing was not made within 30 days of the issuance of the February 14, 2017 order, as required by Rule 261. *See* § 502.261(a). Accordingly, we decide the petition in accordance with Rule 254.

B. Applicable Law

Claimant expressly bases his petition on 46 U.S.C. § 41305(e), which the Coble Act added on December 18, 2014, and Zim agrees that this is the appropriate law to apply in this case. As it is uncontested that § 41305(e) applies, we determine Claimant's entitlement to fees under this section. Section 41305(e) provides that "[i]n any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees." The party seeking attorney fees bears the burden of establishing eligibility and entitlement to an award, providing evidence of the appropriate hours, and justifying the reasonableness of the rates. *See Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, 34 S.R.R. 439, 444–45 (FMC 2016).

C. Eligibility

Actions under § 41301 consist of private party complaint proceedings, like this one, alleging violations of the Shipping Act. *See Organization and Functions; Rules of Practice and Procedure; Attorney Fees*, 81 Fed. Reg. 10508, 10511 (Mar. 1, 2016) (final rule promulgating implementing regulations and guidance relating to the

amended attorney fee provisions under the Coble Act). And claimants awarded reparations qualify as prevailing parties. *See id.* at 10512. Accordingly, Claimant is eligible for an attorney fee award.

D. Entitlement

Section 41305(e) permits, but does not require, the Commission to award attorney fees to the prevailing party in Shipping Act proceedings. Accordingly, Rule 254 requires that the petitioner “[e]xplain why attorney fees should be awarded.” *See* 46 C.F.R. § 502.254(d)(1)(i); 81 Fed. Reg. at 10510. In this instance, Claimant has not provided an explanation as to why he is entitled to attorney fees. His petition merely cites to the Commission’s February 14, 2017 order awarding reparations and § 41305(e).

The Commission has laid out general principles and cited a number of potentially guiding factors in determining entitlement to attorney fee awards. In particular, the Commission has stated that parties should be encouraged to litigate meritorious claims and defenses. 81 Fed. Reg. at 10515. The Commission has also cited the following factors as providing a “useful guide” for determining entitlement: “frivolousness, motivation, objective unreasonableness (both in the factual and in the legal components of the case) and the need in particular circumstances to advance considerations of compensation and deterrence.” *Id.* at 445. (quoting *Fogerty v. Fantasy, Inc.*, 510 U.S. 517, 534 n.19 (1994) (internal quotations omitted)).

Claimant has failed to explain how these or any other factors justify an attorney-fee award in this case. Although the Commission order on remand is sufficient to establish Claimant’s eligibility to attorney fees, the order alone does not demonstrate that this qualifies as one of the limited instances in which an attorney-fee award is appropriate. Therefore, Claimant has not complied with the requirements of Rule 254(d)(1)(i) and has failed to establish entitlement to attorney fees in this case.

E. Costs

Claimant's petition also requests costs and expenses incurred during the proceeding. Section 41305(e) is limited to attorney fees and does not provide for the award of costs and other litigation expenses. *Edaf*, 34 S.R.R. at 447 (citing *Tienshan, Inc. v. Tianjin Hua Feng Transp. Agency Co., Ltd.*, 32 S.R.R. 52, 67 (ALJ 2011); *Global Transporte Oceanico S.A. v. Coler Independent Lines Co.*, 28 S.R.R. 1162, 1163 n.5 (FMC 1999) (interpreting the previous fee-shifting provision providing for "attorney's fees" as not permitting reimbursement of other costs and litigation expenses)). Accordingly, Claimant's request for costs is denied.

IV. CONCLUSION

Although Claimant is eligible for an attorney fee award under 46 U.S.C. § 41305(e), he has failed to establish entitlement to such fees. In addition, costs and other litigation expenses are not available under § 41305(e).

THEREFORE, IT IS ORDERED That Claimant's petition for attorney fees is DENIED.

By the Commission.

Rachel E. Dickon
Assistant Secretary